



MOTOROLA SOLUTIONS

Q1 2026 Earnings Conference Call
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PARTICIPANTS

Motorola Solutions, Inc. Executive Participants

Brian Piotrowski – Vice President, Investor Relations
Greg Brown – Chairman & Chief Executive Officer
Jason Winkler – Executive Vice President & Chief Financial Officer
Jack Molloy – Executive Vice President & Chief Operating Officer
Mahesh Saptharishi – Executive Vice President & Chief Technology Officer

Other Participants

Tim Long – Analyst, Barclays Capital, Inc.
Matt Niknam – Analyst, Truist Securities
Joseph Cardoso – Analyst, JP Morgan Securities LLC
Keith Housum – Analyst, Northcoast Research Partners LLC
Ben Bollin – Analyst, Cleveland Research Co. LLC
Andrew Spinola – Analyst, UBS Securities LLC
George Notter – Analyst, Wolfe Research, LLC
Meta Marshall – Analyst, Morgan Stanley & Co. LLC
Tomer Zilberman – Analyst, BofA Securities, Inc.
Ryan Abbott – Analyst, Piper Sandler
Amit Daryanani – Analyst, Evercore ISI

MOTOROLA SOLUTIONS, INC. MANAGEMENT DISCUSSION SECTION

Operator: Good afternoon and thank you for holding. Welcome to the Motorola Solutions First Quarter 2026 Earnings Conference Call. Today's call is being recorded. If you have any objections, please disconnect at this time.

The presentation material and additional financial tables are posted on the Motorola Solutions Investor Relations website. In addition, a webcast replay of this call will be available on our website within three hours after the conclusion of this call. The website address is: www.motorolasolutions.com/investors. All participants have been placed in a listen-only mode. You will have an opportunity to ask questions after today's presentation. [Operator Instructions]

I would now like to introduce Mr. Brian Piotrowski, Vice President of Investor Relations. Mr. Piotrowski, you may begin your conference.

Brian Piotrowski, Vice President, Investor Relations

Good afternoon. Welcome to our 2026 first quarter earnings call. With me today are Greg Brown, Chairman and CEO; Jason Winkler, Executive Vice President and CFO; Jack Molloy, Executive Vice President and COO and Mahesh Saptharishi, Executive Vice President and CTO. Greg and Jason will review our results along with commentary, and Jack and Mahesh will join for Q&A.

We have posted an earnings presentation and news release at MotorolaSolutions.com/investors. These materials include GAAP to non-GAAP reconciliations for your reference. During the call, we reference non-GAAP financial results including those in our outlook, unless otherwise noted.

A number of forward-looking statements will be made during this presentation and during the Q&A portion of the call. These statements are based on current expectations and assumptions that are subject to a variety of risks and uncertainties. Actual results could differ materially from these forward-looking statements.

Information about factors that could cause such differences can be found in today's earnings news release, in the comments made during this conference call, in the risk factor section of our 2025 annual report on Form 10-K or any quarterly report on Form 10-Q, and in our other reports and filings with the SEC. We do not undertake any duty to update any forward-looking statements.

I'll now turn it over to Greg.

Greg Brown, Chairman & Chief Executive Officer

Thanks, Brian. Good afternoon and thanks for joining us today.

First, Q1 was an outstanding start to the year, with earnings per share that exceeded our guidance as well as record revenue. Revenue was up 7% in the quarter, highlighted by 18% growth in software and services. Additionally, we saw growth across all three technologies with particularly strong starts to the year in Command Center and Video, where we continue to see customers adopt our cloud and hybrid solutions to future-proof their operations and leverage our latest purpose-built AI workflows. In terms of Silvus, Silvus continues to exceed expectations and I'm very pleased with our continued execution on that front. And at a company level, we also expanded year-over-year operating margins for the 5th consecutive quarter.

Second, demand for our safety and security solutions remains robust. Our record Q1 orders grew 38%, contributing to a record Q1 ending backlog position of \$15.7 billion, up 11% versus a year ago. This is a testament to the continued prioritization of safety and security by our customers globally and the investments we're making across our ecosystem.

During the quarter, we acquired Exacom and Hyper. Exacom integrates critical radio and 911 audio into our digital evidence management, while Hyper injects agentic AI into our 911 call handling. These capabilities convert voice, video and data into actionable intelligence, helping our customers to act with greater speed and certainty. Additionally, we announced our intent to acquire Bell Canada's LMR networks services business which we expect to close sometime in Q4. This acquisition expands our mission critical managed services footprint into the Canadian public safety customer base.

And finally, based on our Q1 results and continued momentum in the business, we're raising our full-year guidance for both sales and EPS.

And with that, I'll now turn the call over to Jason.

Jason Winkler, Executive Vice President & Chief Financial Officer

Thank you, Greg. Revenue for the quarter grew 7% and was above our guidance with growth in both segments and in all three technologies. This included \$60 million of FX tailwinds and \$219 million from acquisitions, which was consistent with our Q1 expectations.

GAAP operating earnings were \$525 million or 19.3% of sales, down from 23.0% in the year ago quarter driven by a \$75 million non-cash charge for the increase in the Silvus earnout which is aligned to stronger performance of the business and increased intangible amortization in the current quarter.

Non-GAAP operating earnings were \$781 million, up 9% from the year ago quarter, and non-GAAP operating margin was 28.8%, up 50 basis points driven by higher sales and improved operating leverage, partially offset by higher supply chain costs.

GAAP Earnings Per Share was \$2.18, down from \$2.53 in the year-ago quarter primarily due to the \$0.45 non-cash charge for the Silvus earnout that I mentioned earlier. Non-GAAP EPS was \$3.37, up 6% from \$3.18 last year. Our growth in EPS was driven by higher operating margins, partially offset by higher interest expense.

Opex in Q1 was \$607 million, up \$4 million versus last year due to acquisitions.

Turning to cash flow, Q1 operating cash flow was \$451 million, down \$59 million versus last year, and free cash flow was \$389 million, down \$84 million. The decrease in year over year cash flow was primarily driven by increased investments in inventory and higher interest, partially offset by higher earnings. Capital Allocation during Q1 included \$201 million in cash dividends, \$118 million in share repurchases and \$62 million of capex. We closed two acquisitions during the quarter, Exacom and Hyper for a total of \$90 million, net of cash acquired. We also entered into a definitive agreement to acquire the LMR networks services business from Bell Canada which is expected to close in the fourth quarter of 2026. Additionally, the company repaid \$200 million of the \$1.5 billion term loans issued to fund the Silvus acquisition, leaving a balance of \$1.3 billion outstanding.

Moving next to Segment Results. In Products and SI, sales were up 1% versus last year, driven by growth in Video. Revenue from acquisitions was \$181 million and foreign currency tailwinds were \$30 million in the quarter. Operating earnings were \$386 million or 24.8% of sales, down from 28.1% in the year prior, primarily driven by unfavorable mix and higher supply chain costs, partially offset by improved operating leverage.

Some notable Q1 wins and achievements in the Products and SI segment include... \$148 million P25 device and SVX body-worn assistant orders for the U.S. Federal Government, a \$16 million P25 device order for a U.S. state and local customer, a \$14 million fixed video order for a large U.S. fitness company and a \$10 million fixed video order for Duke Energy. During the quarter, the company also secured \$78 million of Silvus orders from an unmanned systems provider in Germany with an expected delivery schedule over the next few quarters.

In Software and Services, revenue was up 18% compared to last year driven by strong growth across all three technologies. Revenue from acquisitions was \$38 million and currency tailwinds were \$30 million in the quarter. Operating earnings in the segment were \$395 million, or 34.2% of sales, up from 28.7% of sales last year driven by higher sales, inclusive of favorable mix, and improved operating leverage.

Some notable Q1 highlights in the segment include a \$41 million five-year P25 services renewal for the MN Department of Transportation, a \$24 million command center order for Denver, CO, a \$16 million command center order for Anne Arundel County, MD, a \$10 million P25 services order for Paraiba, Brazil Department of Social Services and a \$9 million mobile video order for a U.S. state and local customer.

Looking now at our regional results. North America Q1 revenue was \$1.9 billion, flat compared to the prior year, with growth in Video and Command Center. International Q1 revenue was \$857 million, up 27% versus last year driven by Mission Critical Networks, Video and Command Center.

Moving to Backlog, ending backlog for Q1 was \$15.7 billion, up \$1.6 billion, or 11%, versus last year primarily driven by record Q1 orders which was our 4th consecutive quarter of double-digit orders growth in both segments. Sequentially, backlog declined \$60 million driven primarily by revenue recognition for the U.K. Home Office, partially offset by strong demand in Video and Command Center.

In Products and SI, ending backlog increased \$255 million versus last year due to strong demand in Video and Mission Critical Networks. Sequentially, ending backlog increased \$45 million driven by strong demand in Video.

In Software and Services, backlog increased \$1.3 billion compared to last year driven by strong demand for multi-year contracts across all three technologies and favorable foreign currency impacts. Sequentially, the ending backlog declined \$105 million primarily driven by the revenue recognition for the U.K. Home Office, partially offset by strong demand in Command Center and Video.

Turning to our outlook. We expect Q2 sales growth of approximately 8.5% with non-GAAP earnings per share between \$3.82 and \$3.88 per share. This assumes a weighted average diluted share count of approximately 168 million shares, and an effective tax rate of approximately 23%. For the Full Year, we now expect revenue of approximately \$12.8 billion up from our prior guidance of \$12.7 billion and non-GAAP earnings per share between \$16.87 and \$16.99 per share, up from our prior guide of between \$16.70 and \$16.85 per share.

This full year outlook assumes a weighted average diluted share count of approximately 168 million shares, an effective tax rate of approximately 22.5% and favorable FX of about \$100 million, which is unchanged from our prior outlook. Additionally, we continue to expect another strong year of cash flow generation with approximately \$3 billion of operating cash flow for the full year.

Before turning the call to Greg, I want to highlight a couple items. First, we are raising our top-line revenue expectations \$100 million, driven by strength from both Silvus, which we now expect to generate \$750 million in full year revenue, up \$75 million from prior expectations, and as well, our core public safety business increasing. With these increased top-line expectations, we now expect Products and SI to grow between 8% and 9%, up from 7%–8%, and Mission Critical Networks, the technology, to grow between 8% and 9%, up from 7%–8% previously.

Second, we continue to navigate a dynamic supply chain environment that includes tariffs and rising memory costs. Regarding tariffs: The Supreme Court ruled against the IEEPA duties in February. However, these were promptly replaced by new Section 122 tariffs, which we are subject to, and a broader tariff framework uncertainty remains on the horizon. The net impact of these changes is that we continue to project \$60 million in tariff headwinds this year, primarily in the first half of the year. And we continue to monitor the IEEPA refund process. Turning to memory, on our last call we dimensionalized our direct memory spend at approximately \$50 million last year. We now expect this to a little more than double in 2026 and we are actively pursuing mitigation strategies, including accelerating inventory, deeper strategic partnerships, and surgical price adjustments to offset these memory cost increases. As a result, we still expect to expand our operating margins by 100 basis points for the full year, with operating margin expansion in both segments.

With that, I'd like to turn the call back over to Greg.

Greg Brown, Chairman & Chief Executive Officer

Thanks Jason. I'll end with a few thoughts. First, I'm very pleased with our Q1 results, and demand continues to be quite strong across the portfolio. Revenue was up 7%, highlighted by 18% growth in our software and services segment. Additionally, we achieved a record Q1 ending backlog, which was up 11% versus last year, providing us with an excellent foundation for the rest of 2026.

Second, I couldn't be more pleased with the energy and enthusiasm coming out of our annual public safety user Summit, which was held in Orlando last month. Innovation has always been at our core and after spending time with the record 1,600 plus customers in attendance, it's more clear than ever that they're looking to our solutions to help simplify an increasingly complex public safety workflow.

To that end, I'm excited about the recent launches within our Command Center that leverage our latest AI Assist capabilities - Missions and Record Management. With Missions, we are redefining crime center operations by centering workflows around measurable outcomes. With Records Management, we are unifying an agency's records and case management into a single, cloud-native solution that can significantly accelerate agency reporting and case closure. These solutions build on our comprehensive approach to AI with Assist, focused on injecting intelligence directly into every workflow across the portfolio, serving the call taker, dispatcher, responder, RTCC operator and investigator with a compelling value proposition for our customers.

In Mission Critical Networks, we continue to redefine what resilient communications means. Our new APX Next integration with T-Mobile and Starlink seamlessly enables direct-to-device satellite connectivity, adding yet another mode of network resiliency to LMR where we now incorporate LTE / 5G / Wifi / and Satellite to help ensure that a first responder is never out of reach. In Video security, we also continue to expand the breadth of our portfolio across key verticals including healthcare, retail, and critical infrastructure.

And finally, the opportunities in front of our Silvus business continue to grow in today's geopolitical environment where unmanned systems, particularly drones, are transforming security and defense operations around the world. The resilient, highly scalable, secure broadband connectivity Silvus provides puts us at the very center of new defense and electronic warfare communications and we continue to see strong demand from U.S. and Allied defense agencies worldwide, which is in part driving our increased guidance for this year.

As I look forward to the rest of the year, I'm absolutely encouraged by our momentum. We are seeing sustained, global prioritization of public safety, enterprise security, and defense spending and are very well positioned for the remainder of the year. And...Our strong balance sheet and excellent cash flow provide us with the flexibility to remain opportunistic in capital allocation, both organically and inorganically.

And with that, I'll now turn the call back over to Brian and we'll open it up for your questions.

Brian Piotrowski, Vice President, Investor Relations

Thank you, Greg. Before we begin taking questions, I would like to remind callers to limit themselves to one question and one follow-up to accommodate as many participants as possible.

Operator, would you please remind our callers on the line how to ask a question?

QUESTION AND ANSWER SECTION

Operator

Thank you. The floor is now open for questions. [Operator Instructions] Thank you. And our first question comes from Tim Long with Barclays.

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Tim Long

Analyst, Barclays Capital, Inc.

Thank you. Yeah, I was hoping I could start with the strong performance in video and command center, both those product lines seem to be above growth rate. So, could you talk a little bit about kind of what drove that, was there one-timers in there, particularly in video with the big order that was discussed? And any updates on outlooks there? And then I had a follow-up on mission critical networks after that. Thank you.

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Jason Winkler

Executive Vice President & Chief Financial Officer

Thanks, Tim. And yes, it was a strong start to the year for video. As you mentioned, 16% growth. Growth drivers in there include body-worn cameras, ALPR our Unity platform and of course, Alta, which is our cloud-based platform, continuing to lead the way with growth. Much of that's aligned to the continued investments that Jack's made in the team. I wouldn't point to any one particular deal, but a couple of deals we talked about that are new wins for us, including Duke and the large one that we mentioned for a fitness, Jack, you and your team did a tremendous job on those and it's pretty broad based, Tim.

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Jack Molloy

Executive Vice President & Chief Operating Officer

Tim. The only thing I'd add, Jason hit it. The only thing is Alta has been a game changer in terms of vertical markets served. We weren't really in retail before and as we alluded to with the big national fitness chain, that's an example, I think of what you'll come to expect from us moving forward. We've been very intensive on education, public safety, critical infrastructure, but I think there's a broader market that we can serve with Alta and with the investments we've made in go-to-market.

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Jason Winkler

Executive Vice President & Chief Financial Officer

And second half of your question, Tim. Also, also a strong start to our command center technology with 27% growth. That was driven in part by some Tier 1 cities coming online for our next generation 911, which Mahesh and team have delivered. Those customers have made some pretty significant commitments to us given the roadmap that Mahesh has.

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Mahesh Saptharishi

Executive Vice President & Chief Technology Officer

I think, on top of that, I'd say that, we also moved to a hybrid subscription model for our CAD solutions and our record solutions last year. Those customers went live and we're seeing the dividends of that play out as well at this point. The last thing I'd say is that, we introduced Assist Suites last quarter, and we're seeing excellent product market fit there. 100% of our, 911 VESTA Next call handling solutions, had Assist Dispatcher Suite associated with it. So that was a great win for us as well.

Tim Long

Analyst, Barclays Capital, Inc.

Okay. And I just wanted to follow-up on the mission critical networks. It sounds like, Silvus is exceeding and you raised numbers there as well. Revenues were down year-over-year in the quarter, so maybe talk about, what's going on in the LMR product area to start the year. Thank you.

Jason Winkler

Executive Vice President & Chief Financial Officer

Sure. So there, Tim, as we expected, where Q1 in particular has a series of comps behind it. Our Q1 is pretty strong in the LMR business. And, so, we were expecting that, prepared for that. Silvus is continuing to exceed our expectations. I would also point you to demand, which is a function of orders, our double-digit product orders growth, inclusive of LMR, is our fourth quarter in a row of capturing that level of demand. And is anchored around our expectations for growth in the second half within MCN and LMR inclusive, growth to accelerate, which is much like last year.

Greg Brown

Chairman & Chief Executive Officer

And Tim, I would just add and further unpack that. When you decompose Products and specifically LMR, remember we're also going against a couple of years prior comps that are double digit, which is a reflection of the normalization of semiconductor supply that in Q1 and one more quarter this quarter, this year, we will be through. So, that's another anomaly that we're playing through, but love the fact that we've had four consecutive quarters of double-digit product growth. And quite frankly, we expect full year double digit orders growth in Products as well. So, it is as expected. That's a reflection of the linearity you see.

Jason Winkler

Executive Vice President & Chief Financial Officer

And the raise that we mentioned on the call, the \$100 million, while \$75 million is related to Silvus, the other \$25 is from really the public safety business, broadly. So, our expectations have increased.

Tim Long

Analyst, Barclays Capital, Inc.

Okay. Thank you.

Greg Brown

Chairman & Chief Executive Officer

Thanks, Tim.

Operator

The next question will come from the line of Matt Niknam with Truist Securities.

Matthew Niknam

Analyst, Truist Securities, Inc.

Hey guys. Thanks so much for taking the question. I guess to the point of accelerating growth, particularly in the back half of the year, I'm just curious if you can talk to visibility and confidence level you have towards achieving the guide, more in terms of supply and getting enough at hand to be able to ship.

And then on a related note, just on gross margins, I know you guys reaffirmed the expectation to grow up OP income margins by about 100 basis points. I'm wondering, if there's maybe a little bit more leverage against the OpEx or how are you thinking about gross margins relative to scaling past OpEx to get there? Thanks.

Jason Winkler

Executive Vice President & Chief Financial Officer

Sure. So, on the demand side, you can see it in our product backlog, which actually increased sequentially. Strong public safety orders, as well as a strong video orders included in that. In terms of our ability to continue to attain the supply to match those strong demand profiles, those double-digit quarters that we talked about, we are getting the supply we need. In some cases, we're having to pay a little bit more for it, in particular memory. But our supply lines are lined up to the demand profile that we have today, and what we expect to be there in the second half. And despite the higher costs we mentioned on the call that we still expect to grow operating earnings for the company, 100 basis points and to do it in both segments. Each segment will contribute to that 100-basis point expansion. Jack?

Jack Molloy

Executive Vice President & Chief Operating Officer

And pipeline, Matt. The only thing I'd tell you is given you have a full understanding of public safety being a significant part of our business. It is a long sales cycle in public safety, which is a good thing for us, because it gives us visibility in terms

of deals, not only deals we propose, but deals approval. They go to county board, city commission, state budget office. And so, we have a high degree of confidence in our outlook for the year.

Operator

Thank you. Our next question will come from the line of Joseph Cardoso with JPMorgan. Joseph, your line is open.

Joseph Cardoso

Analyst, JPMorgan Securities LLC

Hey, thanks for the question. Good evening everyone. Maybe just wanted to circle back on Silvus. It's great to see the upside to the outlook here. I mean, I'm just wondering if we could take a step back and really just touch on how you guys are seeing the opportunity pipeline build for this business relative to when we last spoke?

And then the second aspect of that question is, as we consider your ability to capture this demand, can you talk about your manufacturing footprint here and how we should think about that as a potential gating factor, if at all, to potential further upsides around this business? And then I have a follow-up. Thank you.

Greg Brown

Chairman & Chief Executive Officer

Yeah. I think, since we closed on Silvus in August of last year, as we sit here today, it's definitely exceeding our expectations. I think that what you're seeing in the print in Q1 and the overall guide to \$750 million is a reflection of the increased investment that we're making in go-to-market. The sales force for Silvus is already doubled with Jack and his team making investments.

We're seeing demand increase as well internationally. I think, when you dimensionalize the 750 million annually, the majority of that is coming from international demand in multiple theaters. And when we acquired it, we always thought it was best-in-class technology. The other thing we're doing is putting more coals on the fire on R&D for differentiation and technology refresh. So, we keep that lead and further extend our differentiation.

Jack Molloy

Executive Vice President & Chief Operating Officer

Yeah. And just to build on that, Greg, if you think about it, there's really three facets in R&D. Number one, it's the spectrum dominant software, which is ultimately Silvus' secret sauce. It's what differentiates us to the other MANET providers in the world of electronic warfare, very critical.

The second thing from an R&D standpoint is we've had a big focus on reduction of size, weight, and power in January, we introduced the StreamCaster 5200, which has gotten rave reviews not only in the DoD, but also within the NATO space. And that is now our smallest full featured MANET radio.

And then the last thing is the spectrum sensing capability. When you think about counter UAS, this is a handheld tactical radio at the edge that can sense RF and has spectrum awareness. So, for the modern warfighter and what's happening in various theaters around the world, it's also being used there. So, we're really pleased.

I think the last thing and we talked about investment; Greg nailed the go-to-market is, we have already increased our supply capacity in California. And we're going to let you know we've talked; we're going to be adding a geo-redundant site that will bring on incremental capacity in 2027.

Jason Winkler

Executive Vice President & Chief Financial Officer

And the other place you'll see our expectations having increased for Silvus is in the earnout that we structured, which is a win-win. We mentioned on the call that it's gone up to be now an expected payout of just over \$100 million. That reflects the increase in what we expect the business to perform under the earnout structure. So, aligned there as well.

Joseph Cardoso

Analyst, JPMorgan Securities LLC

No, that's awesome color, guys. I appreciate all of that. And then maybe, Greg, last quarter, I think you talked about your expectations to expand product backlog exiting 2026. I mean, as we sit here today, product backlog has already had an excellent point for you to execute on that. So maybe just given kind of, I mean, you somewhat already talked about a lot of these or talked about kind of the demand you're seeing the momentum in the business. But as you sit here today, relative to 90 days ago, and that expectation around kind of building backlog through the year, how are you feeling better or worse, in terms of achieving that. And any sense of direction that would be great and kind of the drivers behind it?

Greg Brown

Chairman & Chief Executive Officer

From 90 days ago, stronger. Stronger, because as you recall, Joe, I guided last call, I gave color that I actually thought product backlog would decline. It didn't decline. It increased sequentially. And an increase, because yes, in part to Silvus, but also public safety LMR and a little bit of video. So that was a pleasant surprise that obviously increases the floor, gives us more confidence. In addition to that, Q1 is not only record backlog, but record orders.

So, between those two records and product backlog coming in stronger than expected, yes, I and we feel better. And I think the rhythm of the business is good across the portfolio. You saw the start to video, 16%, command center 27%. We incrementally increased as part of the \$100 million, \$12.7 billion to \$12.8 billion, the guidance around mission critical networks.

When I think across all three technologies and both segments, Joe, I feel good. I feel very good about where we are. The pipeline in front of us and the visibility we have. We have to execute. We'll stay focused on that, but yeah, it was a pleasant surprise. And I think it's a reflection of the durability and longevity of LMR, which is foundational. The ecosystem with AI being connected throughout all product emergency workflows and we're seeing that resonate with our customers.

The summit feedback was outstanding, just a few weeks ago in Orlando. So, product backlog end of year. I expect it to be at comparably strong levels from where we are now.

Joseph Cardoso
Analyst, JPMorgan Securities LLC

No, that's great to hear. Thanks for the questions.

Greg Brown
Chairman & Chief Executive Officer

Thank you.

Operator

Thank you. Our question now comes from the line of Keith Housum with Northcoast Research. Your line is open.

Keith Housum
Analyst, Northcoast Research Partners LLC

Good afternoon, guys. Hey, Jason, can you remind me your Software & Services number, how much of that is recurring rev? What's the percentage of recurring?

Jason Winkler
Executive Vice President & Chief Financial Officer

We view and have asserted that Software & Services is our proxy for recurring. Sorry, Keith. So really, in our view, the definition of it is recurring.

Keith Housum
Analyst, Northcoast Research Partners LLC

Okay. So, what we see here in this quarter, really a significant step-up year-over-year. And that will be able to carry that through for the rest of the year, on the growth that we're seeing. Correct?

Jason Winkler

Executive Vice President & Chief Financial Officer

Well, we've guided to S&S performance being a little less than the 18% it started off at. As we mentioned, on the command center side, there are some activations that come with recurring true-up. We mentioned those 3 to 4 with Tier 1 cities that are large that were in the command centers, Keith. So, those are now live. And that was in part what was in the 27% as well as in the 18%. But we are very excited about the growth prospect of S&S as we look forward.

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Keith Housum

Analyst, Northcoast Research Partners LLC

Okay. Appreciate that. And then, do you guys still expect double digit order growth for the year? I think, that was commentary you guys provided last quarter.

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Jason Winkler

Executive Vice President & Chief Financial Officer

Yeah.

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Greg Brown

Chairman & Chief Executive Officer

Yeah.

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Keith Housum

Analyst, Northcoast Research Partners LLC

Okay. Great. Thanks guys. I'll turn it back over.

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Jason Winkler

Executive Vice President & Chief Financial Officer

Thank you, Keith.

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Operator

Our next question comes from Ben Bollin with Cleveland. Your line is open.

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Ben Bollin

Analyst, Cleveland Research Co. LLC

Thank you. Good afternoon, everyone. I appreciate you taking the question. Greg, I was hoping you could comment or Jack a little bit about what you see happening with the timing of Congress passing funding for DHS. Any influence on the backlog rev rec during the quarter, or how that flows through to the model for the remainder of the year?

Jack Molloy

Executive Vice President & Chief Operating Officer

Yeah. Ben, now we're monitoring, obviously what's happening in DC. Listen, as it relates to federal, we had a great 2025. We expect growth, comparable growth in 2026. If you think about it, everybody, all agencies are funded except for ICE and CBP, who basically have a pretty significant budget tailwind through the One Big Beautiful Bill Act. And I think that's important to point out.

I would also remind you that we had \$148 million DHS order in Q1, that was funded through the OB3 Act. Not only an APX NEXT, but also an SVX order tethered to that. So, as we play it forward, we think we're in a great budget situation with the federal government. We're always monitoring what happens in DC, but we think it's immaterial, and we think this – it's all implied within our guide for 2026.

Ben Bollin

Analyst, Cleveland Research Co. LLC

And a follow-up, when we think about near-term opportunity associated with World Cup, how should we think about that capture opportunity or the incrementality of that for 2Q and beyond?

Jack Molloy

Executive Vice President & Chief Operating Officer

Sure. So, I just remind everybody with the World Cup and we're working with all those cities, and we've generated business in all those cities. A lot of that, more than half of that money was earmarked for counter UAS systems that were not in place in stadiums. But with the other monies that were available, we have seen APX NEXT refreshes. We've seen a significant, and this is important, a significant amount of business for us within the SmartConnect. So, think about it connecting public safety to private stadium systems. We've had business there. All of that, it's been generally conducive but it hasn't been a big driver of the business. In fact, it's been about \$40 million all in with the World Cup city sites.

Ben Bollin

Analyst, Cleveland Research Co. LLC

Thanks, Jack.

Operator

Thank you. Our next question will be from Andrew Spinola with UBS. Your line is now open.

Andrew Spinola

Analyst, UBS Securities LLC

Thank you. I think, you had another fairly large SVX win this quarter, in the press release, in your federal business. I'm wondering if you can just comment on the momentum in that the SVX product line and specifically highlight, why you're so bullish on the federal business, what you're seeing there, what that opportunity looks like?

Jack Molloy

Executive Vice President & Chief Operating Officer

Sure. We've said the market wants an alternative. We're really excited, but I think we're more excited because of the demand signals we're seeing from our customers. To your point, we secured a significant DHS order. As I just alluded to with SVX tethered with APX NEXT, but to-date, now we've seen 100 customers with SVX. And I think the most important metric that we're following is 30% of those customers are utilizing video.

We've completed some deployments, namely Arlington, Texas, by the way, that's a World Cup site, Buckeye, Arizona, and Marion County, Florida as well. Playing it forward, we're monitoring weekly the pipeline, we've got hundreds of quotes out to customers that want an alternative and they're looking to continue. Our sales team continues to look to work to see the device into the marketplace.

Greg Brown

Chairman & Chief Executive Officer

And just the 30 customers utilizing video are doing so with, AI Assist. And oftentimes, as you know, we're doing it with one device, not two, because it's converged with the body cam and the remote speaker mic. We're doing it with compelling total cost of ownership, which is much more affordable and attractive. And by the way, we're doing it now and can move back end data, pretty easily in a matter of depending upon the size of the repository. But we can easily switch a customer with the incumbent provider over to Motorola Solutions with SVX and Assist and migrate that back end data and all of evidence management, since it's owned by the customer in a matter of many times, weeks and sometimes a couple of months, but we are doing it now on a regular basis.

Mahesh Saptharishi

Executive Vice President & Chief Technology Officer

Maybe related to that as well, with narrative assistance attached to our command center records management platform today. Just compared to December, we have seen an 800% increase in the number of completed reports that are generated with Assist. So, the adoption of these technologies is also increased quite dramatically.

Andrew Spinola
Analyst, UBS Securities LLC

Interesting. Just one other question, one follow-up, a separate question. Thinking through Q1 to Q2 trends in mission critical on the product side, how should we think about Silvus in general? Obviously, it's in a pretty strong growth ramp. Is there any reason to think that there's either seasonality from quarter-to-quarter or was Q1 stronger, how should we think about modeling that in Q2?

Greg Brown
Chairman & Chief Executive Officer

Well, I would first say, again, demand is strong and orders are strong. We talked about the additional investments in go-to-market and R&D and the capacity expansion that Molloy's team is taking. I think when you take a look and step out and look annually, it isn't exactly a linear business. Projects are an important part of this business, which don't necessarily allow you to take a quarter and just extrapolate times four. But we do feel good about the shape of the year. We continue to invest. And at the end of the day, as we sit here in May, I consider and we consider the guide prudent, and we'll update you again in August. But demand is really strong.

Andrew Spinola
Analyst, UBS Securities LLC

Thank you.

Greg Brown
Chairman & Chief Executive Officer

Thanks, Andrew.

Operator

Great. Our next question will come from George Notter with Wolfe Research. George, your line is open.

George Notter
Analyst, Wolfe Research LLC

Hey, guys. Thanks very much. I was just curious about the backlog metrics look really good. I'm wondering if there's any change in the duration of orders, anything that might help kind of skew that backlog metric up? I'm just trying to understand how much I can rely on that backlog metric as a gauge for future growth? Thanks.

Jason Winkler

Executive Vice President & Chief Financial Officer

No change to where we were positioned on the backlog from this point last year, both in terms of when we expect it to ship, George, but also the duration on things like S&S, which you know is a multiyear. So, we look at backlog as a function of informing our guide, as well as looking forward to what we will earn in orders, quick turn, which is also an important part. And again, much like last year, our setup here as we sit here today is for a strong backlog position, complemented by continued strong orders, is what's informing our guide and our raise.

George Notter

Analyst, Wolfe Research LLC

Okay, super. That's great. And then one other one. I was just curious about the Bell Canada LMR acquisition. Any sense for what that would look like financially? Is it accretive? How much revenue would that drive? Anything else you can tell us there would be great.

Jason Winkler

Executive Vice President & Chief Financial Officer

Well, it's about – it'll bring to us approximately \$100 million of the recurring services, managed services operations, which you know that we do elsewhere, across the globe. It's a number of underlying customers. There's potential to serve those customers better and deeper in other areas, but the starting point is the \$100 million of recurring managed services business, which again – and again, we expect to close that in Q4. We'll have some more details on that as we close.

George Notter

Analyst, Wolfe Research LLC

Thanks, I appreciate it.

Operator

Thank you. Our question now comes from Meta Marshall with Morgan Stanley. Your line is now open.

Meta A. Marshall

Analyst, Morgan Stanley & Co. LLC

Great. Thanks so much. Appreciate the question. Just maybe a question just in terms of kind of what was driving some of the strength that you saw in video in the quarter? That would be helpful maybe as a starting point.

Jason Winkler

Executive Vice President & Chief Financial Officer

As I mentioned earlier Meta, we're pleased with our video performance, both in, orders and sales. We had strong camera sales, which you can see in the Products number. We had strong Unity sales. And SVX, which we mentioned and Jack highlighted some of those deals, is a driver as well. So, overall strong performance in video, to start the year.

Meta A. Marshall

Analyst, Morgan Stanley & Co. LLC

Got it. And then just – and apologies if this has already been asked, just in terms of kind of thinking about LMR product for the remainder of the year. Just in terms of, kind of now that we're past some of the tougher comps, just how to think about that? Thanks.

Greg Brown

Chairman & Chief Executive Officer

Yeah. We talked about some of the double-digit comps from previous Q1s of a couple of years, I think to this quarter and probably, Meta, next quarter as well. Next quarter will complete what we believe is the normalization post semiconductor supply. So, we expect more robust growth in the back half of the year.

And when you think about organic growth primarily grounded in mission critical networks and LMR, we expect it to be stronger annually for the full year 2026 over 2025. And we like the double-digit orders for Product and the pipeline that Jack's team continues to provide. So, I feel very good about the position of mission critical networks and specifically LMR underneath it.

Meta A. Marshall

Analyst, Morgan Stanley & Co. LLC

Great. Thanks so much.

Greg Brown

Chairman & Chief Executive Officer

Thank you.

Operator

Our next question comes from the line of Tomer Zilberman with Bank of America Securities. Your line is open.

Tomer Zilberman

Analyst, BofA Securities, Inc.

Hey, guys. Maybe another question on the competitive landscape. Axon announced that they're entering the 911 call center market through two acquisitions. I think that was just about a month ago. So, I guess the question really is, how do you see that landscape of command center evolving and is there any concerns that they're going to be a lot more competitive, given you kind of already interact with them in the mobile body-worn camera market?

Greg Brown

Chairman & Chief Executive Officer

Well, I mean, we could tag-team it, but my view is to-date, we haven't seen a material change in the competitive landscape. I'm well aware of what they announced and suffice to say that we had visibility in opportunities as well. But we like what we have, we like what we're building. We like the fact that we're in over 60% of the 6,000 public safety answering points today.

And we like the fact that we have the widest and broadest portfolio. Remember, you want to do prem, you could do prem. You want to do cloud; you can do cloud. But we also not just do both, we give you a hybrid solution to allow you to migrate from one to the other. That's unique in the market, and no one else provides that.

And then when you overlay AI Assist and a lot of people talk about AI, but we've been more quiet but pretty pervasively intentional of putting it throughout our portfolio into the role-based suites. We announced responder, we announced dispatcher. Just think about the way Mahesh's team is embedding AI through all of public safety emergency workflow. And then when you look at it from a voice standpoint and the success, we've had with SVX, and video being activated with Assist in a little over 30% of those, I very much like the position we're in.

Mahesh Saptharishi

Executive Vice President & Chief Technology Officer

The other thing to emphasize here. Tomer, is that we're not just an over the top solution here. Remember a PSAP has three significant applications. There's 911, there is CAD and there are consoles. And one of the things we're doing with Assist, which is encompassing the Dispatcher Suite, is to address the connectivity via AI among those three. And as I mentioned before, every one of our VESTA Next sales last quarter went with the Assist Dispatcher Suite. So that's a very important element of it.

The other thing I'll say is that, at Summit this year, we had a record number of attendees. We had double the number of AI breakout sessions that we had previously. And it was centered around really pushing the notion of the connectivity that Assist brings to bear across our applications almost exactly like, Greg explained.

We also introduced Hyper at Summit and Hyper was received incredibly well, bringing, non-emergency call automation into the mix. And Hyper is also now tightly integrated with our 911 solutions as well. So, when you think about it, Assist and AI is not just an over-the-top thing for us, it is really the fabric with which our applications and our ecosystem function together. So, I think, we're competitively set up quite well.

Tomer Zilberman
Analyst, BofA Securities, Inc.

Got it. Thanks.

Greg Brown
Chairman & Chief Executive Officer

Thanks, Tomer.

Operator

[Operator instructions] Our next question will come from Ryan Abbott with Piper Sandler.

Ryan Abbott
Analyst, Piper Sandler & Co.

Hi, guys. Thanks for taking my question. I'm on for Jim Fish. The first question is on the SVX wins. What are customers liking, like what's driving those wins and what does the pipeline look like going forward? I have a follow-up to that.

Jack Molloy
Executive Vice President & Chief Operating Officer

Yeah, I'll start. I think, Ryan, what we've seen, customers like first of all, it's a multi-source body-worn AI driven assistant. It's not a body-worn camera. It looks and I think, as Mahesh just laid out, we look at things end-to-end. It extracts video from the command center. There's better knowledge base, that's provisioned to a police officer when they get on the site. And so, it's that.

But I think you can never you can never walk away from the fact that just the audio, which blew me away, has blown the customers away when they look at it in terms of voice and just what that means to the device, too.

The last piece of it that I would say is, when we're talking to people making financial decisions, it's no longer... you don't need two cell phone bills. I think you're getting more and more value from the hub at the edge, which is the APX radio. And I think that's the economic value that it provides as well.

Mahesh Saptharishi
Executive Vice President & Chief Technology Officer

Maybe a few things just on the technical side to add there. Quite a few of radio users use earpieces. And when you use an earpiece, the body-worn camera if it's separate and distinct from the radio system itself, does not capture that audio. It

is a significant contributor to what an officer sees and hears, which feeds into our assisted narrative and other AI functionality.

The SVX actually combines all of that together. In addition, from a connectivity standpoint, we leverage not just – we don't need a separate connectivity piece in the body-worn camera, the body-worn assistant, it is tied to our APX NEXT unit. So, the TCO advantage there, is quite significant as well. So, we see this as an incredibly powerful solution.

And last but not least on the digital evidence management side, our redaction solution assisted with AI has been powerful, our customers love it. The speed with which you can redact is incredible. We often hear what used to take 35 hours before, now it takes one hour. And that's a significant advantage for our customers. The time savings is powerful. I think the user experience, all in all, is very compelling for SVX.

Ryan Abbott

Analyst, Piper Sandler & Co.

Great. Thank you. And then on Silvus margins, are they still about in the 40%-ish range and what should we see flowing through to next year?

Greg Brown

Chairman & Chief Executive Officer

We talked about EBITDA margins of about 45%, for this year. Yes, Silvus is performing at that level, actually at the moment perhaps a little bit stronger. And that's after the investments we've made in R&D and go-to-market. So, particularly pleased about, it's not only top line growth and robust orders, but the maintenance and continuity, the profitability profile, that... it's affording itself as well.

Ryan Abbott

Analyst, Piper Sandler & Co.

Great. Thank you.

Greg Brown

Chairman & Chief Executive Officer

Thank you, Ryan.

Operator

Thank you. Our final question will come from Amit Daryanani, your line is open, with Evercore ISI.

Amit Daryanani

Analyst, Evercore ISI

I guess, you announced the Exacom and Hyper as well as the Bell Canada. I guess how are you guys thinking about using M&A the rest of the year to address any more competitive gaps? And then, how are you trying to balance that versus continuing organic R&D investment? Thank you.

Greg Brown

Chairman & Chief Executive Officer

Well, the good news is, the balance sheet position we're in is really strong. And we reaffirmed, obviously, today our expectation to generate approximately \$3 billion in operating cash flow. You know that when you think about CapEx, the dividend and M&A, it's about 60/30/10. 60% we can do share repo, 30% dividend, 10% CapEx. So, I think we are sitting in a position, we've purchased – we bought back \$118 million of shares in Q1. As we sit here today, it's just under \$250 million of share buyback to-date.

But a lot of flexibility ahead, both inorganically and organically, I think the investments we're making in the product portfolio, command center, video, fixed, prem, mobile, hybrid, cloud, as well as Silvus, as well as LMR on D-Series, infrastructure refresh, first time we've done that in over a dozen years. The continued device refresh, the network layered resiliency. We have a lot of opportunity in front of us and good optionality with net debt to EBITDA sitting a little over 2.

So, I think we have a lot of powder, and I think we have a lot of opportunity. I don't think we have any "gaps" per se, Bell Canada being a great example. That's an extension of a core business that expands the Canadian public safety footprint. That's core of what we do. We know how to monetize services. We know how to upgrade the infrastructure, we know how to do device refresh, and we know how to load applications on that P25 infrastructure and device footprint over time. So, we'll see how it unfolds. But there's a lot of flexibility and optionality that's in front of us from here looking to the rest of the year.

Operator

Thank you. This concludes our question-and-answer session. I will now turn the floor over to Mr. Greg Brown, Chairman and Chief Executive Officer, for any additional comments or closing remarks.

Greg Brown

Chairman & Chief Executive Officer

Yeah, I simply want to say thank you to all the Motorolans and our partners for a great start to the year. I think, we're really well-positioned to execute on the increased expectations we outlined on the call. We just see continued strong, robust demand, not just in a strong pipeline, but again, coming out of Q1 record backlog, fantastic order performance.

And we like the portfolio investments, I think that are clearly resonating with customers as Mahesh referenced just a few weeks ago with one of the best testimonials there with almost 2,000 people, in Orlando. We've got a strong balance sheet,

strong and robust cash generation and a lot of flexibility and opportunity in front. So, excited about what's next and look forward to catching up with all of you on the next call in August. Thanks for dialing in.

Operator

This does conclude today's teleconference. A replay of this call will be available over the internet within three hours. The website address is www.motorolasolutions.com/investors. We thank you for your participation and ask that you please disconnect your lines at this time.
